MANAGING GLOBAL ACQUISITIONS & RESTRUCTURING

Valuation of Global Business, Technologies & Digital Assets GenAI Innovation

Valuation of GenAI Innovation (OpenAI)

KEY QUESTIONS

1. What defines the value of OpenAI's ChatGPT?
2. To what extent can platform stretching accelerate OpenAI's future valuation?

PRESENTATION AGENDA

Evolution of Open AI

2015

THE NONPROFIT

Mission-First

- Founded as a nonprofit research lab
- Mission: ensure AGI benefits all of humanity
- No revenue model — donor funded

2019

THE HYBRID

Capped-Profit

- Capital crisis forces structural pivot
- Capped-profit subsidiary unlocks venture capital
- Microsoft invests $1bn (later $13.8bn)

2025-26

PUBLIC BENEFIT CORP

Recap & IPO Path

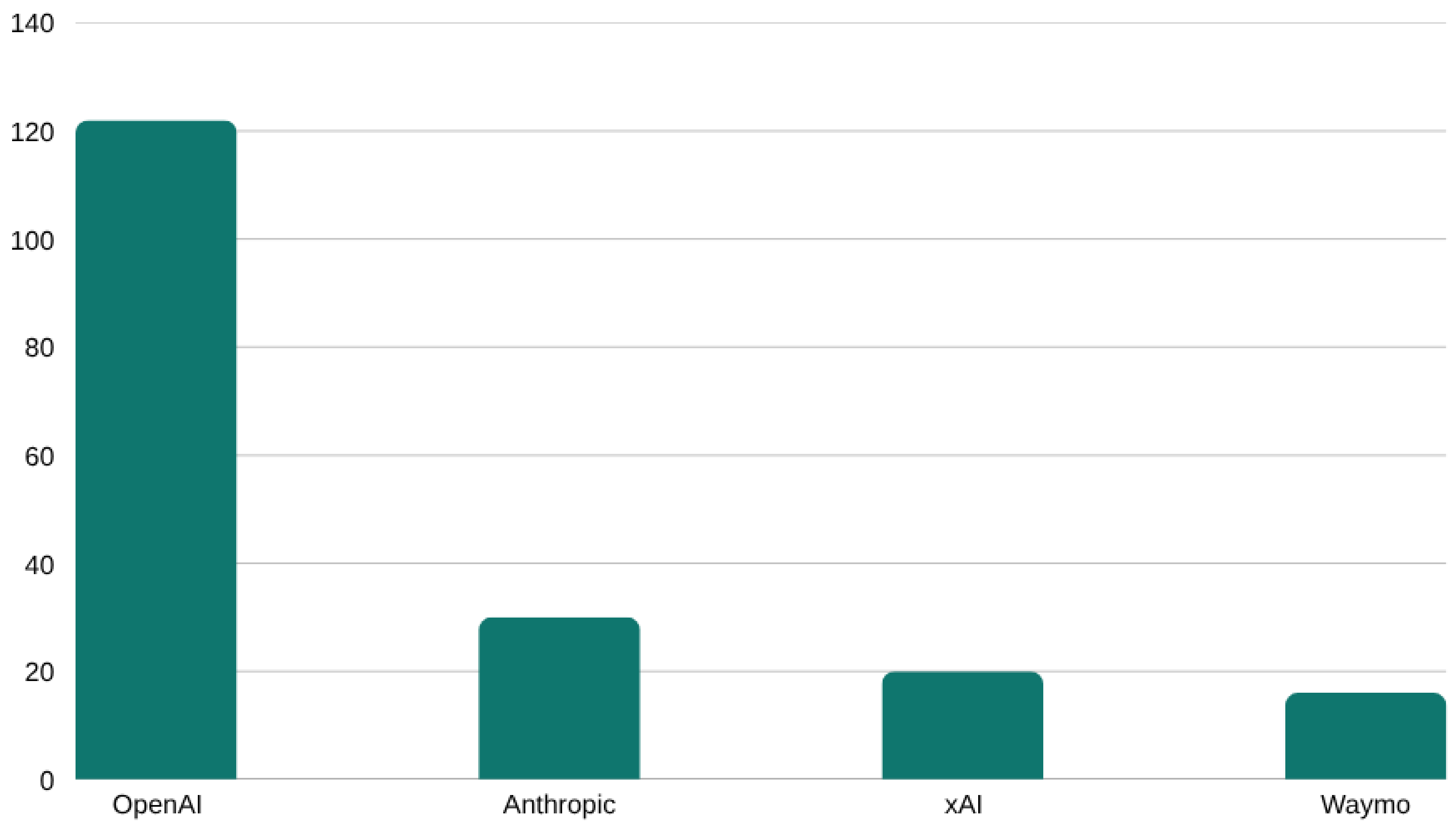
- Oct 2025: OpenAI Group PBC; Foundation keeps ~$130bn stake
- Mar 2026: $122bn round at $852bn post-money
- IPO targeted 2026-27, potential $1T listing

FUNDING & SCALE TRAJECTORY

$852bn	$122bn	$176bn+	$25bn+	5.4×
Mar 2026 valuation	Series G round size	Total raised, all rounds	ARR (Feb 2026)	Valuation growth in 18 months

AI Trend Captures 52–61% of Global VC

OpenAI's $122bn round reflects a shift of VC funding. The premium is the floor for frontier-AI fundraising.



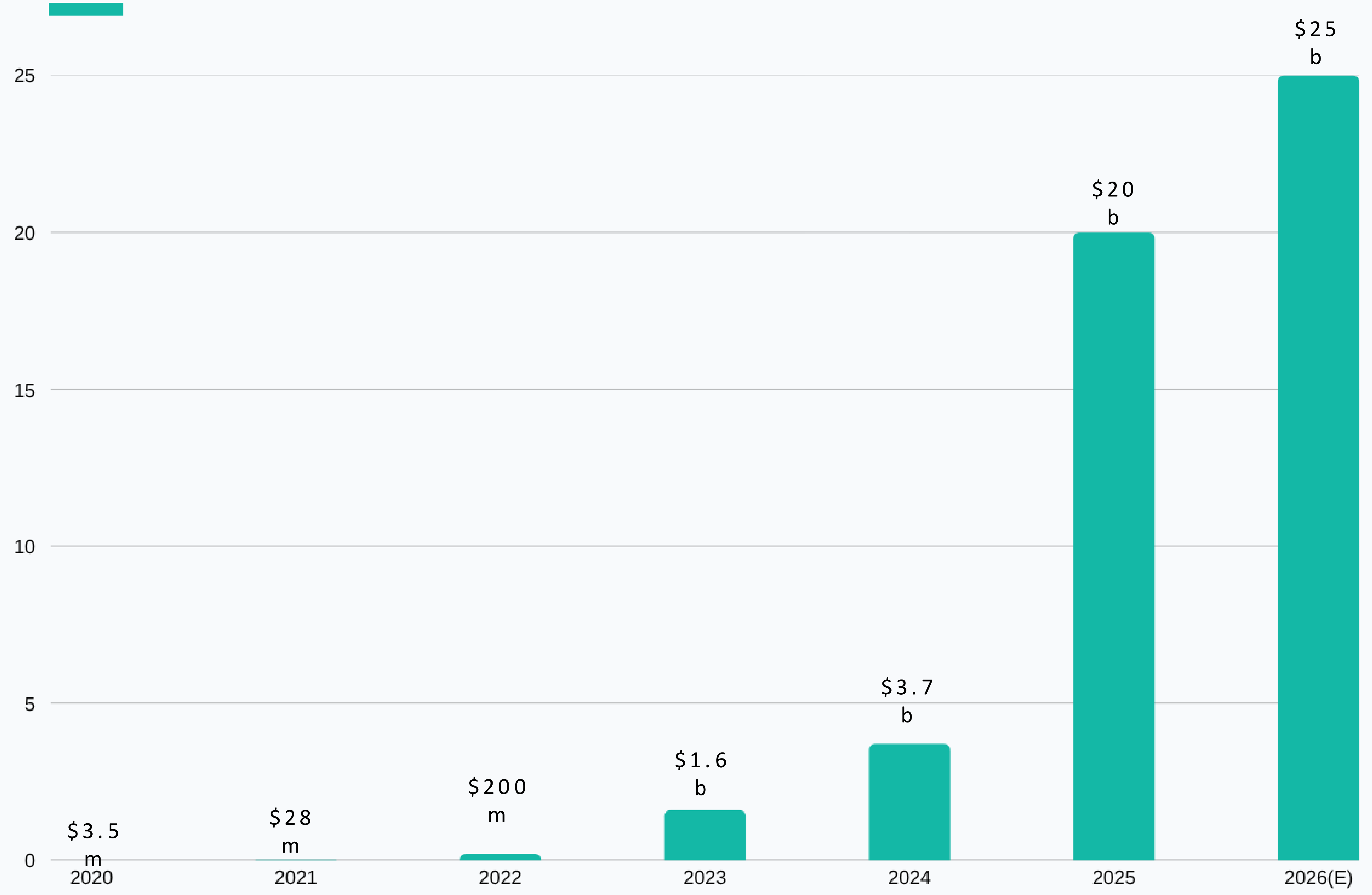
** Top 4 AI labs = 65% of global VC in Q1'26*

2025–26 MEGA-ROUNDS

DEAL	DATE	SIZE	VALUATION
OpenAI Series G	Mar '26	$122bn	$852bn
Anthropic Series G	Feb '26	$30bn	$380bn
xAI Series E	Jan '26	$20bn	$230bn
Waymo Series D	Feb '26	$16bn	$126bn
Cursor Series D	Nov '25	$2.3bn	$29bn
Mistral Series C	Sep '25	~$2bn	~$14bn

AI startups are valued **+30–50% above non-AI peers at every stage.**

Revenue Trajectory — Investors Pay 34× Revenue



WHY THE PREMIUM IS RATIONAL

It's the growth rate, not the multiple.

125×	Revenue growth 2022 to 2026 ($0.2B → $25B)
3×	Annual growth rate 2022 to 2026 (sustained over 3 years)
$2bn	Monthly revenue (Mar 2026)
9M	Paying business users (Feb 2026)

Investors price OpenAI on platform dominance and the consumer-developer-enterprise-compute flywheel — not current profits.

What Defines ChatGPT's Value?

01 USER SCALE

900M

weekly active users

Fastest adoption in history

- 100M users in 2 months to 900M WAU in 3 years
- 50M paying subscribers + 9M business users
- 6× the traffic of any other AI app

02 DATA MOAT

2.5B

daily prompts

Self-reinforcing RLHF loop

- Every query improves the next model
- More users → better models → more users
- Most durable M&A intangible in GenAI

03 FIRST-MOVER

40%

enterprise revenue mix

Brand & distribution

- Enterprise mix: 30% (2024) → 40% (2026)
- On track for parity with consumer end-2026
- 7M+ workplace seats; brand premium drives premium pricing over open-source

04 TECH FRONTIER

GPT-5.5

current flagship (Apr 23, '26)

Compute-fed model lead

- GPT-5.5 → record agentic engagement
- API: 15B tokens/min
- Codex: 4M weekly devs
- $50bn AWS + $30bn Nvidia + $250bn Azure

Value comes from all 4 pillars working as one system. Replicating all four simultaneously at scale is the barrier.

FRAMEWORK 1 OF 4

Discounted Cash Flow

THE FRAMEWORK

$$Value = \Sigma\, FCF_i / (1+r)^i$$

- Project free cash flows
- Discount at WACC over 5–7 years
- Terminal value captures long-run steady-state growth

Best suited for:

- Stable, predictable cash flows (pharma, utilities)
- Terminal value = 40–60% of total, not 85%+
- Moderate, defensible long-run growth rate

APPLIED TO OPENAI

Why DCF breaks for a frontier AI lab

No positive FCF to discount

FY26 loss ~$17bn; cumulative burn ~$115bn through 2029. The core input simply doesn't exist yet.

Terminal value dominates (>85%)

Tiny WACC or growth assumption changes swing the result by hundreds of billions.

3× annual growth violates steady-state

DCF's perpetuity formula needs stable convergent growth. OpenAI's 3× YoY is structurally incompatible.

FRAMEWORK 2 OF 4

Capitalization of Earning

THE FRAMEWORK

Value = Earnings ÷ (Discount rate – Growth rate)

- Treats future earnings as a stable perpetuity
- Cap rate = discount rate minus long-run growth rate
- ARR variant widely used in AIaaS: Glean $100M ARR → $7.2bn (72× multiple)

Best suited for:

- Profitable or near-profitable businesses with stable earnings
- Moderate, predictable growth
- Smaller AIaaS companies approaching steady state

APPLIED TO OPENAI

Why capitalization breaks at frontier scale

Negative numerator

OpenAI: –$17bn FY26 loss. Dividing negative earnings by any cap rate yields a meaningless number.

3× growth violates perpetuity assumption

The formula demands steady-state. OpenAI's sustained 3× annual growth is incompatible.

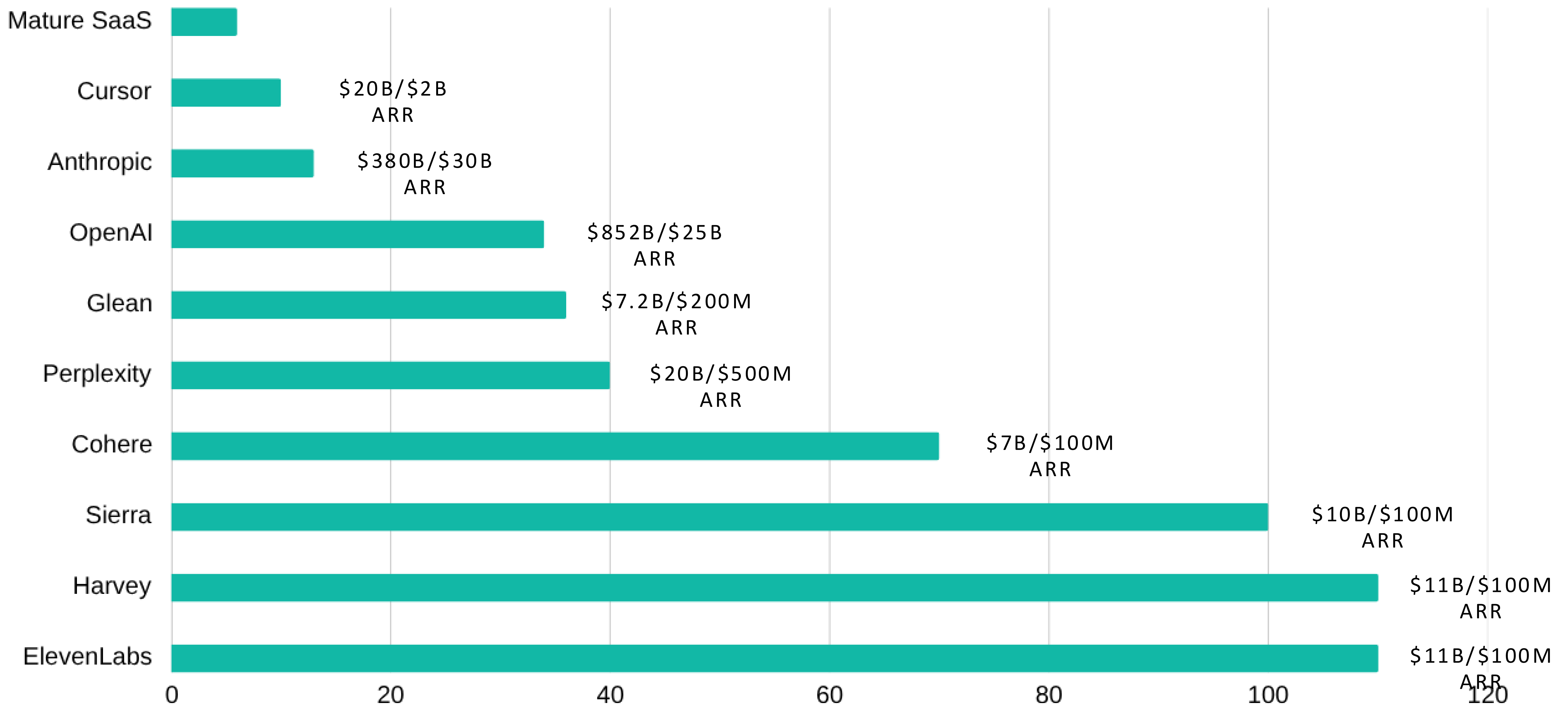
Multiple compresses at frontier scale

Glean at $100M ARR: 72×. OpenAI at $25bn ARR: 34×. The framework loses explanatory power at this scale.

FRAMEWORK 3 OF 4

Comparable Multiples (Primary method)

Comparable multiples is method used to determine a company's value by comparing it to its peers. EV/Revenue usuually used for valuing high-growth companies that may not yet have positive earnings.



60–80× **Vertical specialists**
Sierra, Glean, Cohere, Harvey — smaller ARR, niche area, high growth.

34× **OpenAI sits mid-pack**
Compressed from 90× ('23) → 34× as ARR scaled to $25bn.

13× **Anthropic**
Lowest because $30bn ARR. New $900bn round would push back to ~30×.

6× **Mature SaaS floor**
Where everyone lands eventually. The further above, the more growth investors are pricing in.

Multiples are the primary method investors use. The premium is now driven by growth rate.

FRAMEWORK 4 OF 4

Real Options

Real Options is the framework that explains why a 34× multiple on a loss-making firm is rational.

THE LOGIC · EACH MODEL RELEASE = A FRESH OPTION STRIKE

Investors aren't pricing today's profit — they're pricing the right (not obligation) to capture massive upside if AGI arrives.

GPT-5.5	*Apr 23, 2026*	Agentic flagship — record engagement post-launch
Codex	*Live*	4M weekly developers; Anthropic's Claude Code at $2.5bn ARR sets the bar
ChatGPT Health	*Jan 7, 2026*	230M weekly health queries — a brand-new vertical option strike

$157bn → $852bn

5.4× re-rating in 18 months.

Black-Scholes → Business Real Options

Underlying
PV of future cash flows from AGI

Exercise
Compute investment ($122bn round + capex)

Volatility
Very high — frontier model uncertainty

Time
Years to AGI / next breakthrough

Risk-free rate
Standard treasury rate

Real Options is the only framework that prices AGI optionality.

1

Nov 2022 — One horizontal platform

ChatGPT Launches

- 100M users in 2 months — fastest consumer product ever
- General-purpose: one assistant for everything
- No vertical focus — purely horizontal
- Revenue: ~$28M (2021) → scaling fast

Position: dominates horizontally

2

2023–24 — Specialists carve out niches

Vertical Wrappers Emerge

- Cursor (coding, $29bn) — built on GPT
- Harvey (legal, $11bn) — built on GPT
- Perplexity (search, $20bn) — built on GPT
- OpenAI's own API trains its competitors

Threat: revenue leaks to verticals

3

2025–26 — Absorbs verticals into ChatGPT

OpenAI Re-bundles

- Codex: 4M weekly devs
- ChatGPT Health: 230M weekly queries
- io Products: hardware surface ($6.5bn)
- Goal: 'one unified service' — Brockman '26

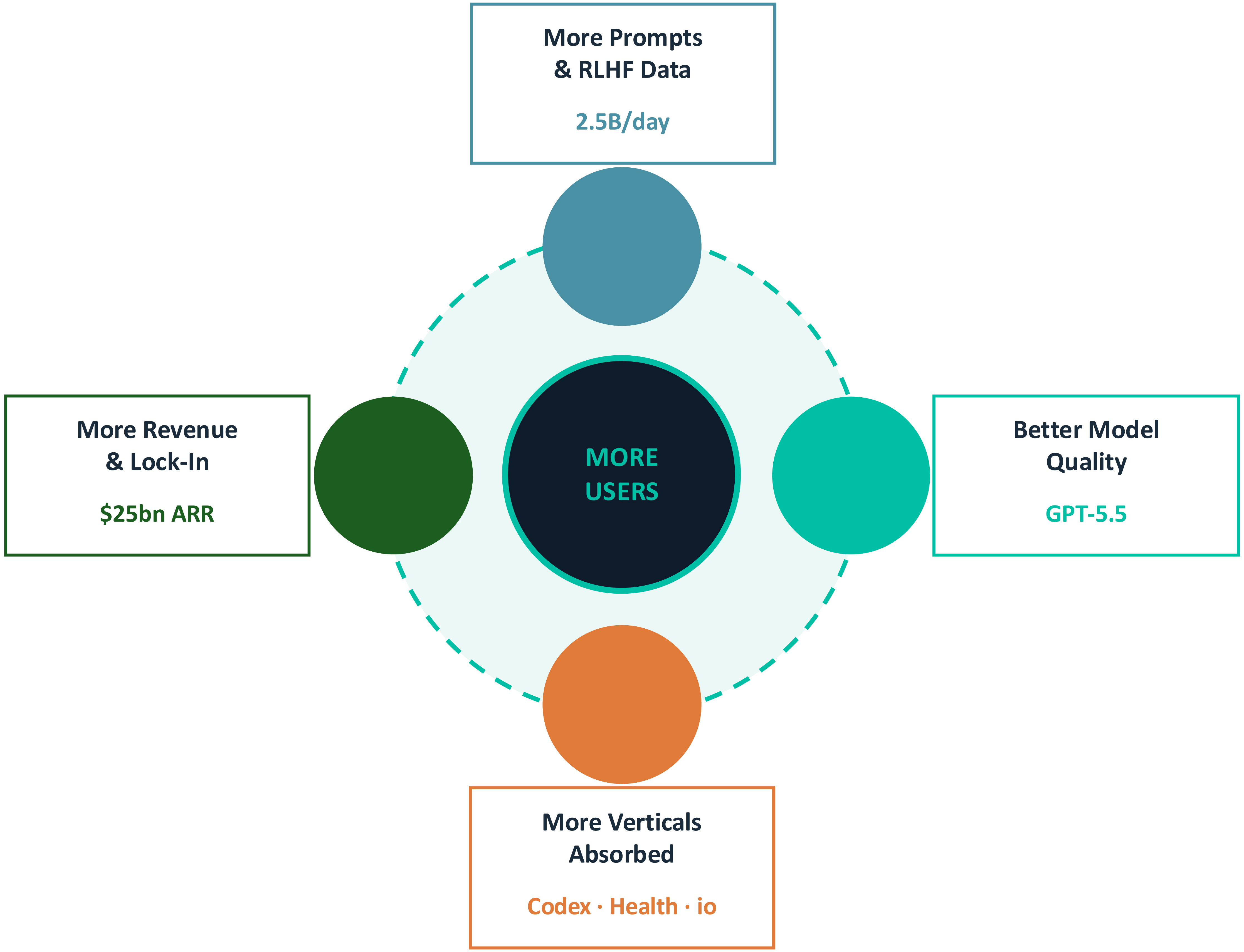
Outcome: switching costs compound

ABSORBTION

TEXT	IMAGE	CODE	VOICE	AGENTS	HEALTH
GPT-5.5	**DALL-E**	**Codex**	**GPT-4o RT**	**Operator**	**ChatGPT Health**
NLP, reasoning, agentic flows	Creative & design workflows	4M weekly devs agentic coding	0.3s latency, real-time chat	Plugins, vertical copilots	230M weekly health queries

Why Vertical Expansion Is Self-Reinforcing?

Every new vertical OpenAI absorbs feeds the loop. The loop is why stretching accelerates valuation.



WHY THIS MATTERS

Compounding effects

Data moat deepens

Each new vertical adds unique prompt types. Health, legal, and coding data trains models that competitors' user bases can't generate.

Switching costs rise

Enterprises embedding Codex or Operator face full redevelopment to switch. Every new surface raises the exit barrier higher.

Competitor gap widens

Anthropic's $30bn ARR proves the model race is close — but OpenAI's 900M WAU flywheel is a structural advantage no API player can replicate.

OpenAI as Two-Sided Acqui-Hire

The pattern is now industry-wide: ~$20.7bn across six major deals in 24 months.

OPENAI AS ACQUIRER · 17+ DEALS IN 3 YEARS

May'25	**io Products (Jony Ive)**	$6.5bn	All-equity. 55-person ex-Apple design team.
Sep'25	**Statsig**	$1.1bn	All-stock. Vijaye Raji → CTO of Applications.
Jul'25	**Windsurf (FAILED)**	$3bn	Microsoft blocked. Google grabbed CEO + team for $2.4bn license.
2024	**Rockset, Multi**	n/d	Real-time analytics + video collab — infrastructure tuck-ins.

OPENAI AS VICTIM · FOUNDER & RESEARCHER EXODUS

May'24	**Ilya Sutskever**	Co-founder, Chief Scientist → Safe Superintelligence ($32bn, Apr '25)
Sep'24	**Mira Murati**	CTO → Thinking Machines Lab (raising at ~$50bn)
Aug'24	**John Schulman**	Co-founder, RLHF inventor → Anthropic (left Feb '26)
Sum'25	**~7 researchers**	→ Meta Superintelligence Labs (post Scale AI deal)

PATTERN

License tech (non-exclusive) + hire founders/team. Target survives but is hollowed out.

WHY

Preserves antitrust optionality vs full acquisition. Speed beats price in AI talent wars.

SCRUTINY

FTC, EC, CMA all opened reviews 2024-2025. No blocks yet — but the framework is shifting.

Anthropic Passed OpenAI in Revenue

Apr 2026 inflection: Anthropic $30bn ARR vs OpenAI $25bn at ~4× lower compute cost. The competitive gap is narrowing faster than OpenAI's valuation premium suggests.

OpenAI

$852bn
Valuation

$25bn
ARR (2026)

34×
Revenue multiple

900M WAU · Codex · Brand · Compute moat

Anthropic

$380bn
Valuation

$30bn ↑
ARR (Apr 2026) — ahead of OpenAI

13×
Revenue multiple (next round ~30×)

Enterprise-first · Claude Code · Safety brand

What this means for OpenAI

⚠ **Revenue gap is a valuation risk**

Anthropic's $30bn ARR vs $25bn undercuts OpenAI's narrative of scale dominance. If Anthropic raises at $900bn, the valuation gap compresses.

⚠ **Efficiency gap is the real threat**

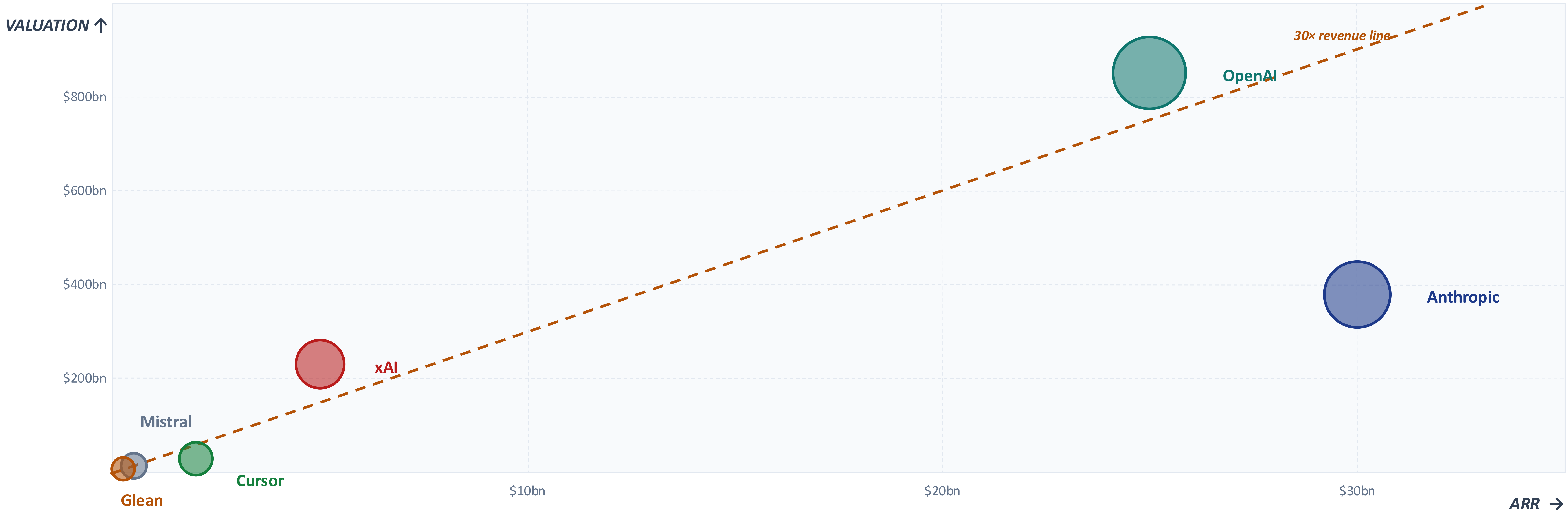
Anthropic achieves $30bn ARR spending ~4× less on training. OpenAI's $17bn annual loss becomes harder to justify if efficiency gains close the model quality gap.

✓ **Consumer brand remains OpenAI's moat**

Anthropic has ~5% of ChatGPT's consumer reach. 900M WAU and 50M paying subscribers are not replicable in the short term. OpenAI's consumer flywheel is still intact.

Valuation vs. Revenue

X-axis: ARR. Y-axis: Valuation. The slope is the multiple. Above the diagonal = paying for option value. Below = revenue-led.



OPENAI: ABOVE THE LINE: Multiple compressed but valuation outpaces revenue. Premium is option-driven.

ANTHROPIC: BELOW THE LINE: Revenue ahead of valuation. Next round (~$900bn) will close the gap.

xAI: STILL OPTION-LED: Highest multiple. Value is almost entirely Memphis compute + Musk option.

CONCLUSION

Premium Validated 5.4×, the lead is now contested

Q1. WHAT DEFINES THE VALUE OF CHATGPT?

Four pillars working as one system, priced through Real Options.

- User scale (900M WAU) feeds the data moat → data moat compounds technical superiority (GPT-5.5) → tech sustains 40% enterprise pricing power → pricing power funds the next compute round.
- The 5.4× re-rating from $157bn (Oct '24) to $852bn (Mar '26) is precisely what option-exercise looks like.

Q2. CAN PLATFORM STRETCHING ACCELERATE FUTURE VALUATION?

Yes — but the next leg is moat-deepening, not modality-adding.

- OpenAI absorbs verticals (Codex, ChatGPT Health, Study Mode, Operator, io Products).
- Future acceleration depends on three things: (1) IPO execution 2026–27, (2) keeping the data flywheel ahead of Anthropic, (3) protecting the compute moat through the Amazon/Nvidia/Azure stack.

OUR VERDICT

OpenAI's premium prices AGI optionality, not current cash flows as justified 5.4× in 18 months. ***OpenAI must defend against Anthropic, sustain enterprise momentum, and execute an IPO without losing the data flywheel.***

Thank You

Questions & Discussion